

AENT – UNIT – II

BUSINESS PLANNING & EXPLORING REVENUE

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Business Plan

1. It is a road map of how you develop a product or service
2. Formal plan of reaching or achieving the Business goals.
3. It helps to develop a product/service

Business Model

1. It answers the question like how we can deliver value added products/services and monetize its value.
2. It clearly lays out the problem and find the solution.
3. How the business generates revenues and profits.

Based on Business Model we can create Business plan.



Business Plan

['biz-nəs 'plan]

A document that defines in detail a company's objectives and how it will achieve them.



1. Business Plan

- A business plan is a written **document** that describes in detail how a business — usually a startup — defines its **objectives** and how it is to go about achieving its **goals**.
- A business plan **lays out** a written **roadmap** for the firm from each of a sales, financial, and Human Resource planning.
- Business plans are important documents used to attract **investment** before a company has established a proven track record. They are also a good way for companies to keep themselves on target going forward.

1. Business Plan



1. Business Plan

Types of Business Plans

- Business plans help companies identify their **objectives** and remain on track.
- They can help companies start and manage themselves, and to help **grow** after they're up and running. They also act as a means to get people to work with and invest in the business.

Although there is no right or wrong business plan, they can fall into two different categories—**traditional** or **lean** startup.

Lean startup business plans, use an abbreviated structure that highlights key elements.

These business plans aren't as common in the business world because they're short—as short as one page

1. Business Plan

Components of Business Plans

1. Executive summary
2. Business description and structure.
3. Market research and strategies.
4. Management and personnel.
5. Financial documents.

Executive summary: This section outlines the company and includes the **mission** statement along with any information about the company's leadership, employees, operations, and location.

1. Business Plan

Components of Business Plans

Business description and structure (aka **Products and services**) Here, the company can outline the products and services it will offer, and may also include pricing, product lifespan, and benefits to the consumer. Other factors that may go into this section include production and manufacturing processes, any patents the company may have, as well as proprietary technology. Information about research and development (R&D) can also be included here.

Market analysis: A firm needs a good handle on its industry as well as its target market. This section of the plan will detail a company's competition and how the company fits in the industry, along with its relative strengths and weaknesses. It will also describe the expected consumer demand for a company's products or services and how easy or difficult it may be to grab market share from incumbents.

1. Business Plan

Components of Business Plans

Marketing strategy: This section describes how the company will attract and keep its customer base and how it intends to reach the consumer. A clear distribution channel must be outlined. The section also spells out advertising and marketing campaign plans and the types of media those campaigns will use.

Financial planning: This section should include a company's financial planning and projections. Financial statements, balance sheets, and other financial information may be included for established businesses. New businesses will include targets and estimates for the first few years plus a description of potential investors

SALES PLAN



2. Sales Plan

- Sales plans often include information about the **business target customers, revenue goals, team structure, and the strategies and resources** necessary for achieving its targets.

An effective sales plan should do the following:

- **Communicate** your company's **goals** and **objectives** to your sales team.
- Provide strategic **direction** for your sales team.
- Outline **roles** and responsibilities for your sales team and leadership.
- Monitor your sales team's **progress** to organizational goal

Sales Plan Components



Sales Plan

- A successful sales plan defines your **target** customers, business **objectives**, tactics, obstacles and processes.
- An effective plan will also include resources and strategies that are used to achieve target goals.
- It works similarly to a business plan in the way it's presented, but only focuses on your sales strategy.

Sales Plan



1. Company mission and positioning

- Start broadly, reiterating the company's **big picture**, primary mission.
- Add to that details on your positioning within the marketplace and your unique selling proposition (USP) to help ground the tactics you'll explain later on.

Sales Plan



2. Sales organization structure

- Outline your entire sales organization—creating an organization chart of the sales team and outlines responsibilities and goals assigned to each role.

3. Sales goals and targets

- Note the high-level goals, sales targets, and **key performance indicators (KPIs)** you plan to hit, along with a timeline for achieving them. Ensure these goals are realistic, ambitious, and measurable, above all.

Sales Plan



4. Target audience and customer segments

- Define your target audience and customer personas upfront to make it easier to identify the most effective tactics for reaching them. Enterprise sales teams, for example, may include specific target accounts.

5. Sales strategies and methodologies

- Outline your overall sales methodology and strategy. Combine the previous sections into a coherent strategy to drive your sales organization and include things like account-based sales (ABS) strategy, inbound sales strategy, and outbound sales strategy.

Sales Plan



6. Sales execution plan

- Your execution plan takes the strategy above and details explicitly how you'll operationalize that strategy toward the goals you've set out.

7. Support

- The rest of your plan deals with the resources and support your team will need to accomplish everything above. That includes financial resources, tools, training, and more.

Sales Planning Process in 5 Steps



1

Analyze



2

Set goals



3

**Develop
sales plan**



4

**Execute
plan**



5

**Evaluate
results**

HIRING A SALES TEAM



3. Hiring Sales Team:

- Companies need to hire **sales** teams that are **multi-dimensional**—**sales people** who **collaborate with others, help customers, use analytics, and work social media**.
- With expert recruiting advice and the latest **hiring** trends, Monster **Hiring** Solutions can help your company find the best salespeople to grow your business.
- Make Sure You're Actually Ready to **Hire** Commission Only **Sales Reps**.
- Put Your **Best** Foot Forward.
- Provide the **Sales** Training that Your **Reps** and Teams Need.
- Explain Your **Sales** Process Clearly.
- **Create the Right Power Dynamic**.

4. People Plan:

What Is **Human Resource Planning (HRP)**?

- Human resource planning (HRP) is the continuous process of systematic planning ahead to achieve optimum use of an organization's most valuable **asset—quality employees**.
- Human resources planning ensures the **best fit between employees and jobs while avoiding manpower shortages or surpluses**.
- There are four key steps to the HRP process. They include analyzing present **labor supply**, forecasting **labor demand**, **balancing projected labor demand with supply**, and **supporting organizational goals**.
- HRP is an important investment for any business as it allows companies to remain both **productive and profitable**.

4. People Plan:

Workforce or **People** Planning - Simple Steps. Workforce, or **people** planning, means identifying the strengths and skills you will need **people** to have, the work they will need to do, and when you will need them, to meet **future objectives**.

Strategies:

1. Treat your applicants well.
2. Think about the cost/benefit before your hire.
3. Try a freelancer.
4. Get potential employees with previous **startup** experience.
5. to strengthen your employer brand.
6. Use an employee referral program.

5. Financial Planning:

- A financial plan is a document containing a person's current money situation and long-term monetary goals, as well as strategies to achieve those goals.
- A financial plan may be created independently or with the help of a certified financial planner.
- In either case, it begins with a thorough evaluation of the individual's current financial state and future expectations.

5. Financial Planning:

- Financial planning is a step-by-step approach to meet one's life goals. A financial plan acts as a guide as you go through life's journey. Essentially, it helps you be in control of your **income, expenses** and **investments** such that you can manage your money and achieve your **goals**.
- If you take a closer look at the above examples, you'll find that there is one factor that connects all of them: money. You need to have an adequate amount of money to fulfill your goals and desires. More importantly, you need to have money at the **right point** in time.
- For example, if you want to build up a corpus of Rs. 10 lakh for your daughter's college education through investments, you need to grow this amount by the time she turns 18. Not a year later. This is where financial planning becomes essential.

5. Financial Planning - Features :

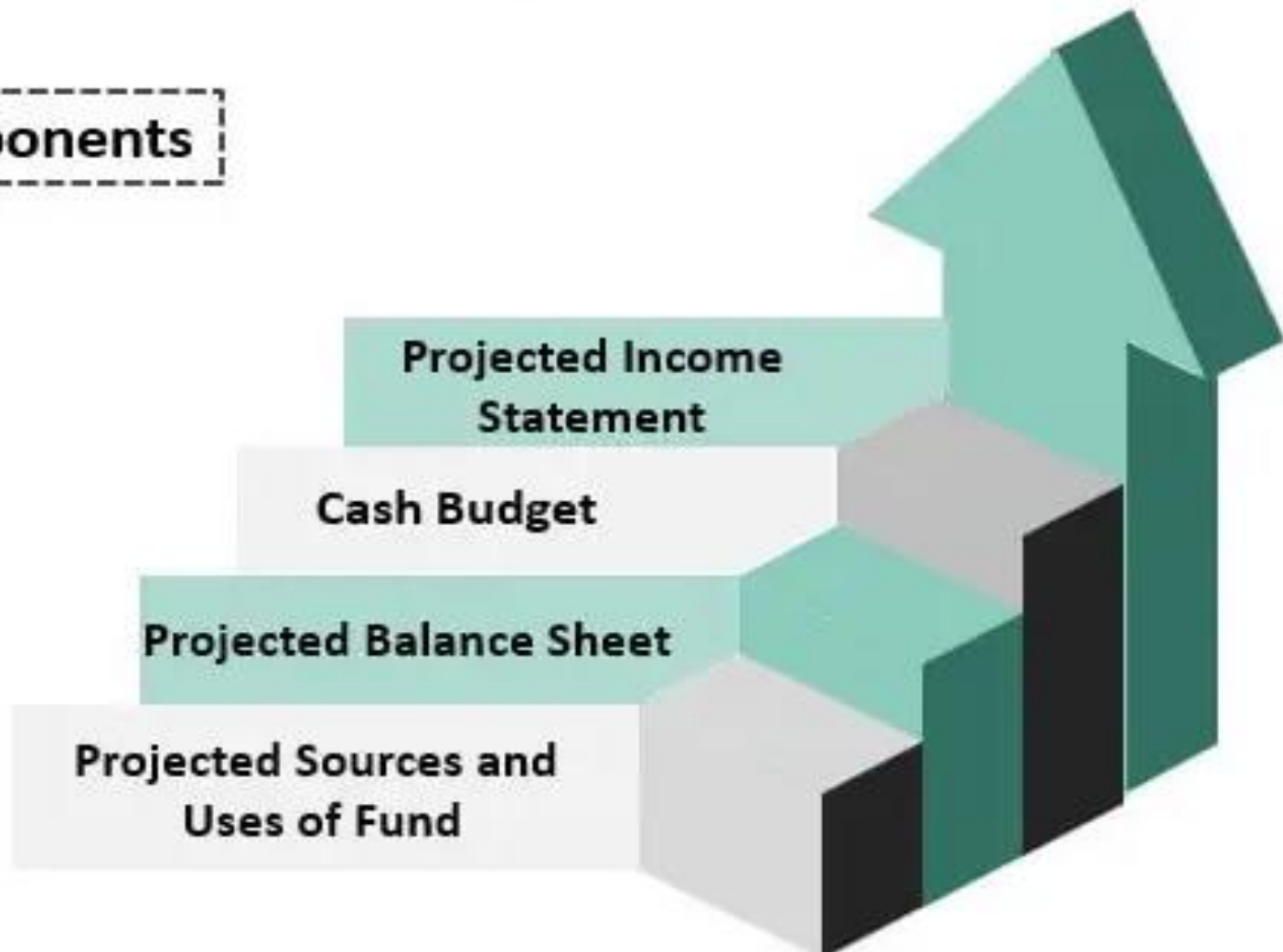
- There are a number of features of financial planning that are important for firms and individuals. These are listed below:
- **Foresight:** A plan made without foresight will only result in a disaster. Foresight is needed in planning for estimating risks and the need for liquid and other assets. It may not be 100% accurate but it should be able to give an estimate of the future risks.
- **Flexibility:** A plan made should be flexible as it will help in the future to make adjustments according to the needs.

5. Financial Planning-Features:

- **Optimal Usage of Funds:** A financial plan should be able to utilize idle money and assets so that they can prove to be fruitful in the future. It does not involve funds kept aside for unforeseen circumstances but the assets that could be otherwise utilized.
- **Simplicity:** Financial planning should be simple in terms of structure and should be able to provide a sound allocation of resources that can be easily understood even by a layman.
- **Liquidity:** It is also a very important aspect of financial planning which involves keeping current assets in the form of money. This will help in easy allocation and payment of various kinds like salary, fees, and other kinds.

Financial Forecasting

Components



6. Financial Forecasting:

- Financial Forecasting is the process of **predicting** or estimating future stats of an organization i.e. how business will perform in the future based on historical data like by analyzing the **income statement, position statement, current conditions**, past trends of the financial, future internal and external environment which is usually undertaken with the objective of preparing and developing budget and allocating available resources to ensure best possible utilization.

6. Financial Forecasting:

- Financial **forecasting** is to plan or define a financial budget for a business.
- The purpose of such financial planning is to **estimate** two things:
 - revenue and
 - expenses.

Here is a basic overview of how the process of financial forecasting plays a vital role in business:..

- **New Business Promotion** – Financial forecasting helps businesses utilize its funds to **promote** new business ventures and initiatives. It also helps in determining the **success rate** of the business they are promoting.
- **Seamless Functioning**– Accurate and effective forecasting of the finances like **current revenue, revenue potential**, and other expenses helps in the organization's smooth running. The forecast also helps in anticipating future roadblocks.
- **Estimating Financial Requirements** – It helps determine **sales** and **cost** of **customer acquisition**, capital for a specific project, and other expenses required for further management of the business. This preemptive forecast helps in making sound business decisions.
- **Control Cash Flow** – It helps in controlling the cash flows of a business. Organizations with a good amount of cash/bank balance are more financially organized and better control their business operations.
- **Archive Overall Success** – Financial forecast is important in achieving overall success for the business as it forms a strong foundation for the complete budgeting of departments across the organizations.

Financial Forecasting Models



7. Procurement Plan

- Procurement plan -- also called a procurement management plan -- is a document that is used to manage the process of **finding** and **selecting** a **vendor**.
- The plan justifies the need for an external supplier and explains how the process of finding a supplier will be performed -- from identifying the project requirements to closing the contract.
- The goal of a procurement plan is to increase the **efficiency**, **effectiveness** and transparency of the procurement process.
- The document specifically describes how products or services will be **acquired** and how **vendors** will be managed during the project.

7. Procurement Plan

- It includes information such as the types of contracts that will be used, the planned delivery or implementation dates for the contracted products or services, the types of metrics that will be used to evaluate the vendor's performance and an explanation of how the procurement process will be performed.
- Creating a procurement plan helps an organization **avoid surprises** and **last-minute considerations**.
- The document helps leaders decide **what to buy, when to buy it and what sources** to purchase from. A procurement plan also allows project planners to determine if their expectations and requirements are realistic and can be completed in the proposed project timeline.

Components of a procurement plan



- Explain the procurement process
- Identify the different roles and responsibilities
- Identify the procurement needs
- Determine your project timeline
- Describe how changes can be made and approved
- Explain how vendors will be managed
- Identify relevant legal jurisdiction
- Define the payment methods
- Explain your risk management processes
- Identify project constraints and limitations

NEGOTIATING ROLE PLAY

>>>**negotiation plays** an important **role** in determining whether a customer purchases, and if so, at what price. A retailer may adopt **negotiation**

Negotiating skills for **sales team people** are crucial and improving them will set the foundation for a successful sale transaction

Guidelines:

- Write down one personal area for improvement related to **negotiating**.
- Choose who will **play** the salesperson and who will **play** the prospect. ...
- Go through a standard **negotiation**. ...
- After you come to an agreement or decide your needs are incompatible, debrief. ...
- Switch **roles**

Stages of Negotiation

In order to achieve a desirable outcome, it may be useful to follow a structured approach to negotiation. For example, in a work situation a meeting may need to be arranged in which all parties involved can come together. The process of negotiation includes the following stages:

- 1. Preparation.**
- 2. Discussion.**
- 3. Clarification of goals.**
- 4. Negotiation towards a WIN-WIN situation.**
- 5. Agreement.**
- 6. Implementation of a course of action.**

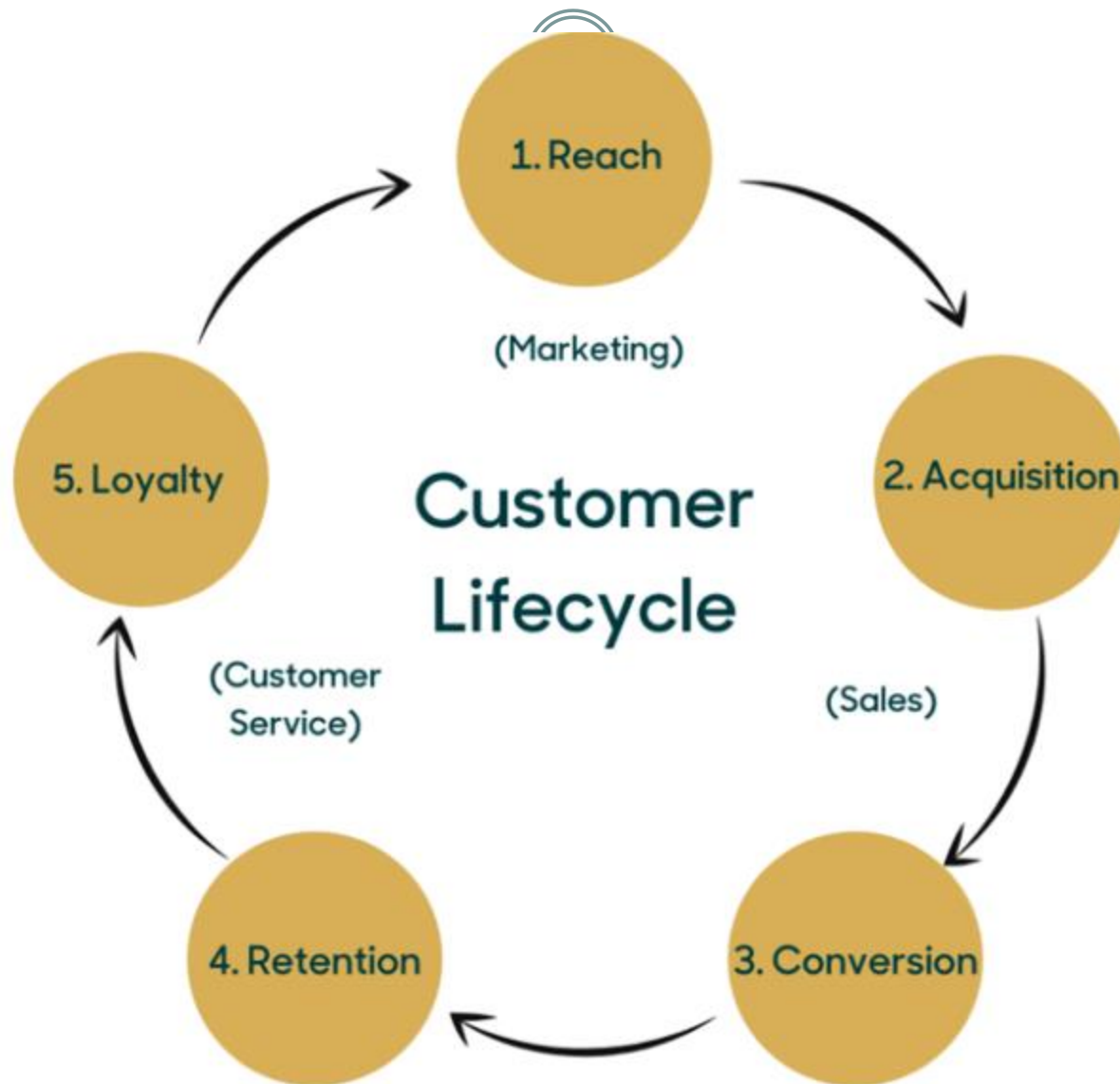
UNDERSTANDING PRIMARY REVENUE SOURCES

- A **revenue stream** is a distinct source of income that can come from either be recurring **revenue**, transaction-based or service **revenue**. A **business** can have a single source of **revenue** or multiple sources depending on its **business model**
- For any company, the primary revenue sources may be considered as the **SALE** of goods or services

EXPLORING CUSTOMER LIFECYCLE FOR GROWTH CUSTOMERS

- In terms of customer relationship management, the customer lifecycle describes the various stages a consumer goes through before, during and after they complete a transaction. Simply put, it's the Point A to Point B journey a customer takes until they make the final purchase.
- **Life cycle management** is a practice that can make or break your ability to upsell, cross-sell, and otherwise grow an existing **customer** relationship, and it helps companies cultivate brand loyalty by identifying opportunities for adding value to the **customer** equation at **key** points in time.

CUSTOMER LIFECYCLE



CUSTOMER LIFECYCLE



Stage 1. Reach/ awareness

- The first stage in e-commerce customer journey is **awareness**.
- Why do we buy products? To fulfill a need, a requirement which can solve a problem for us.
- For example, we buy a light bulb when the old one goes off.
- So, first, shoppers become aware of a problem or a need, which they have to fulfill with a product.

CUSTOMER LIFECYCLE



Stage 2. Acquisition

- The next stage in customer lifecycle management is the acquisition stage.
- It is when shoppers should reach your platforms – website, social media, customer care – to know more about your product.
- And this is the stage where you should capture potential customers' contact details. For ecommerce businesses, a critical part of the acquisition stage is to get shoppers to sign up to the customer account on your site.

CUSTOMER LIFECYCLE



Stage 3. Conversion

- The third stage in customer lifecycle management is conversion – this is when customers make a purchase. It's important to note that purchases can happen in the acquisition stage as well.

Stage 4. Retention

- Retention is the fourth stage in customer lifecycle marketing. It refers to the activities and actions you take to ensure that your customers keep coming back to your store. And keep buying from you.

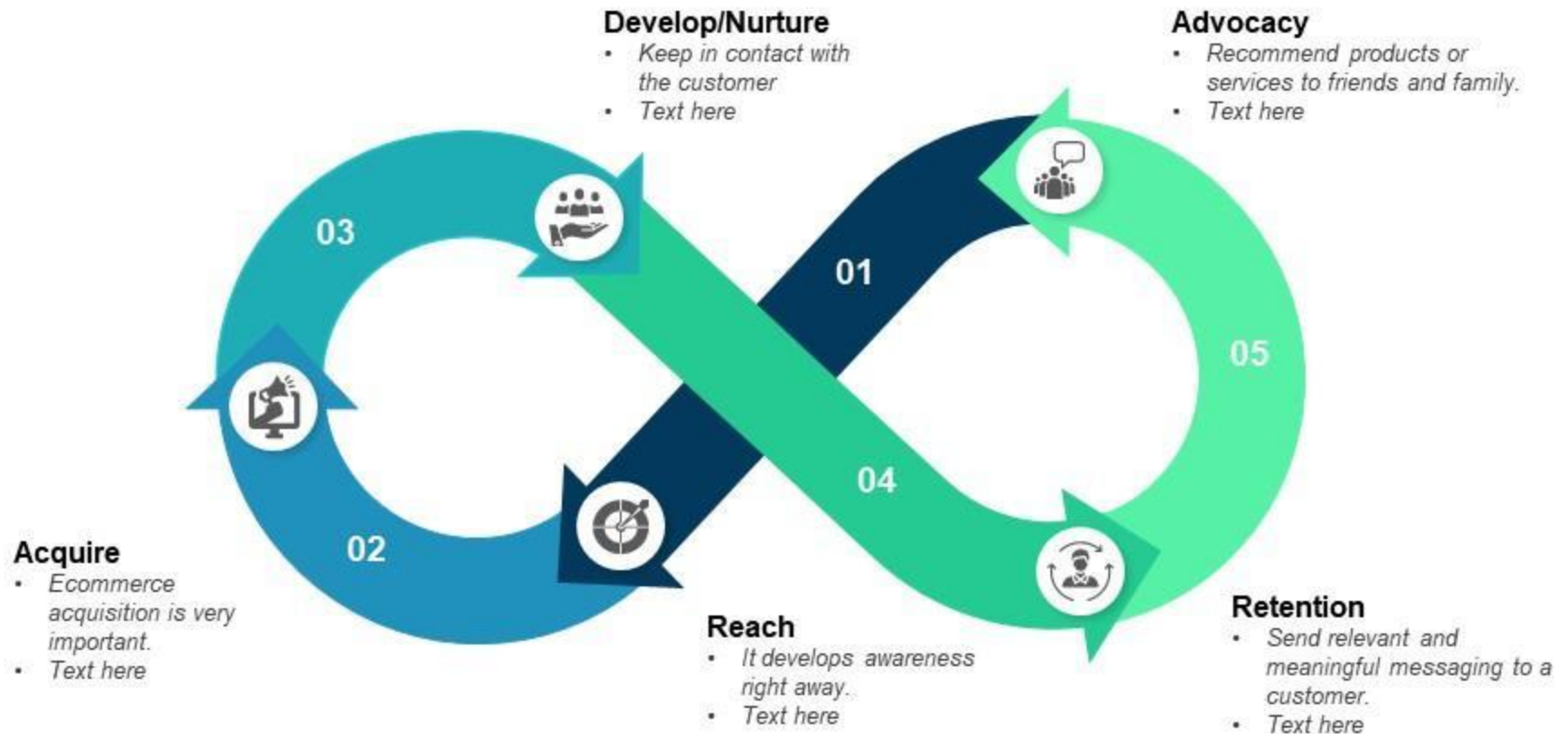
CUSTOMER LIFECYCLE



Stage 5. Loyalty

- The last stage in the customer lifecycle management is loyalty. However, it should be noted that this is not the end stage.
- Customer lifecycle is a cycle and an endless loop. You'll have to keep nurturing and building on customers' journey continuously.
- Once you've retained your customers, you should work towards strengthening their loyalty.

Phases of Customer Lifecycle with Reach and Acquire



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There five basic stages of a customer lifecycle:

- **Reach:** Your marketing material and content needs to be in places where consumers will find it. Reach is the first step in the lifecycle because it develops awareness right away.
- **Acquire:** Ecommerce acquisition is very important. Reaching potential customers won't mean much if you can't offer relevant content or messaging. Understanding your brand, the products you offer and what type of person will buy them will help with acquisition. Contacting them directly with personalized communication improves the odds of a future conversion.
- **Develop/nurture:** Once that first purchase is made, your business needs to keep in contact with the customer. This is where you develop a relationship with the buyer, ensuring they're fully satisfied with their initial transaction. You can also use back-end analytics to predict what else they may like based on what they bought the first time around. Asking for feedback also helps develop the relationship; customers like that their opinion is valued.

- **Retention:** If you're able to continually send relevant and meaningful messaging to a customer, the chances that they return and make another purchase are higher. Retention begins with satisfying a consumer's needs, caring for them and cultivating the relationship. If you can take a customer's feedback and use it to improve a product or service, you make them feel as if they were a part of the process. Performing a customer feedback analysis is key in finding actionable insights that can lead to a stronger customer relationship. This type of trust is valuable to customer retention.
- **Advocacy:** Once the retention stage of the lifecycle is reached, you want these customers to become a brand advocate for your business. If they are truly satisfied, they likely won't have issues recommending your products or services to friends and family. Spreading awareness amongst social circles is easy to do once a customer is loyal to a brand, and if they continually spread positive recommendations, their extended network is more likely to convert as well.

EXPLORING AND IDENTIFY SECONDARY SOURCES OF REVENUE

- **Secondary revenue** refers to **revenue** generated from goods or services which differ from the main product or service lines of a company. It may also be referred to as ancilliary or non-core **revenue** or as monetisation

THANK

YOU